the RBI from the start and his sagacity, foresight, integrity, and business acumen proved to be invaluable in the many trying periods the bank and the country would face in the coming years. He brought knowledge, expertise, and experience of many years with him and came to the Central Board of the bank with a record of national service in the spheres of currency and banking which no public figure of the time could rival. Purshotamdas found himself in the enviable position of not only seeing the RBI come into being but took a leading part from the moment of its inception in the direction of its many activities. Within five years of its establishment, the RBI had to face the problems consequent on the outbreak of the Second World War. And when that global conflict ended, it had to deal with inflation, the sterling balances issue, and finally Partition. In facing all these problems Purshotamdas's resoluteness, foresight, and sagacity were always in evidence. 'In these difficult years Purshotamdas proved to be a tower of strength not only to the Board and the Bank but to the country in so far as its financial stability and strength were concerned.'[3]

As we have seen, Sir Osborne Smith's tenure was destined to be a brief one. On Smith's departure in July 1937, Sir James Taylor assumed office and Purshotamdas was a source of strength and wise counsel to not just both of them but also to their successors, Sir C.D. Deshmukh and Sir Benegal Rama Rau. His views were invariably canvassed on all important issues of policy. One incident which highlights the high esteem in which his views were held occurred when Taylor was away in England and the Bank of England raised its bank rate. In August 1939, the Bank of England increased its bank rate from 2 percent to 4 percent but the RBI did not follow suit. According to Deshmukh, Taylor who was initially in favour of imitating the British move was dissuaded from doing so by Nanavati, the Deputy Governor. Taylor who was out of India at that time, telegraphically advised Nanavati to raise the bank rate but the latter did not agree. If Frank Moraes is to be believed, Purshotamdas played a major role in this refusal. Purshotamdas resolutely opposed the move saying that conditions in India did not justify an upward revision of the bank rate. So strongly did Purshotamdas feel about the matter that he threatened to issue a press statement explaining why he was opposed to such a move. Taylor who was returning from England, and was in Karachi at the time, when contacted on the telephone queried: 'Could Sir Purshotamdas not be persuaded to an